LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

What Is Future Receivable Financing?

Developed by www.loanbazaaronline.com

Table of Contents

Module Number	Technical Course Subject / Chapter Theme	Page no.
Module 1	Theoretical Foundations and Product Philosophy	3
Module 2	Structural Taxonomy and Comparative Analysis	4
Module 3	The End-to-End Operational Lifecycle	6
Module 4	Transactional Credit Underwriting & Risk Metrics	8
Module 5	Watertight Legal Security and Charge Creation	10
Module 6	Sectoral Sizing and Market Alignment	12
Module 7	Commercial Pricing Mechanics and Financial Models	13
Module 8	Regulatory Compliance & Technical Defaults	15
Module 9	Comprehensive Real-World Case Study (Mumbai)	17
Module 10	10-Question Certification Examination	19

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 1: Theoretical Foundations and Product Philosophy of Future Receivable Financing (FRF)

In the landscape of modern corporate finance, liquidity has traditionally been anchored in the presence of tangible, historical assets. Lenders historically focused on static balance sheet metrics, collateralized real estate, and existing rights to payment represented by processed invoices. However, this backward-looking underwriting paradigm creates severe barriers for fast-growing, transaction-intensive enterprises. To bridge this capital gap, financial institutions and digital fintech platforms have structured a highly specialized credit program known as Future Receivable Financing (FRF).

The Core Philosophy of Hope and Likelihood

The philosophical pivot of Future Receivable Financing is the monetization of 'hope' or 'likelihood' of generation. Unlike conventional asset-backed lending, which requires an existing, unalterable right to payment arising from completed performance (existing receivables), FRF is built upon the contractually backed expectation that the borrower will continue to generate trade assets in the future. Under a conventional invoice discounting facility, the borrower sells or pledges actual trade bills. In contrast, under a Future Receivable structure, the financier advances capital today on the contractual covenant that all future receivables arising from transactions, merchants, or projects will be automatically assigned to the lender as soon as they materialize.

Three Primary Classifications of FRF

In the Indian financial system, Future Receivable Financing is operationalized through three distinct product programs:

1. Merchant Point-of-Sale (POS) & UPI Card Receivables: A specialized program tailored for retail establishments, restaurants, and digital B2C merchants. Funding is sanctioned as a revolving business loan or overdraft facility based on the annualized transaction velocity processed through the merchant's credit card, debit card, and UPI POS terminals.
2. Contract-Backed Future cash flows (Infrastructure/Lease Rental): Loans structured against long-term, valid commercial contracts such as power purchase agreements (PPA), toll road collections, or Lease Rental Discounting (LRD). Repayment is secured strictly by escrowing the future collections, where the borrowing limit is determined via the Net Present Value (NPV) method of expected flows.
3. Future-Flow Asset-Backed Securitisation (Securitisation of Future Receivables): An advanced structured capital market mechanism where an originator pools its future cash flow streams (such as export credit cards, royalties, or toll fees) and transfers them to a bankruptcy-remote Special Purpose Vehicle (SPV), which issues highly rated debt securities to institutional investors.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 2: Structural Taxonomy and Comparative Analysis

To prevent corporate treasurers and credit analysts from conflating Future Receivable Financing with other short-term working capital products, it is necessary to establish a clear comparative credit taxonomy. FRF represents a transactional, flow-based asset, whereas cash credit relies on historical balance sheet margins, and unsecured business loans rely strictly on the promoter's personal creditworthiness.

Comparative Credit Matrix

Feature	Future Receivable Overdraft (POS)	Lease Rental Discounting (LRD)	Bilateral Factoring (Existing Debt)	Unsecured Business Loan
Primary Security	Hypothecation of future card/UPI swipe settlements.	Constructive charge on future rental income lease contracts.	Assignment of approved, completed invoices (existing rights).	Nil (unsecured, purely based on financial standing).
Repayment Source	Automatic daily settlement split-sweeps from POS processors.	Monthly escrow sweeps from tenant current account balances.	Buyer's direct payout on invoice usance maturity.	Monthly Equated Monthly Instalment (EMI) debited to borrower.
Credit Underwriting	POS swipe volume velocity, consistency, average ticket size.	Value of property, tenant credit rating, lease duration.	Completed sales performance and buyer credit standing.	Promoter CIBIL rating, historical profit margins.
CERSAI Filing	Mandatory within 10 days of charge creation.	Mandatory on lease charge and underlying property asset.	Mandatory assignment filing within 10 days of transaction.	No asset charge registry (pure clean unsecured line).

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Transactional Credit Dynamics

The fundamental distinction of the Future Receivable Overdraft (POS) line lies in its self-liquidating, high-velocity collection. Traditional Cash Credit (CC) structures require stock statements, physical audits of inventories, and tedious monthly calculations of Drawing Power (DP). Conversely, POS financing utilizes an active, automated split-settlement system. Every time a consumer swipes a credit card at the borrower's store, the merchant aggregator (e.g., Pine Labs, Razorpay, MSwipe) automatically routes a pre-agreed percentage (the split rate, usually 10% to 20%) to the lending bank's escrow account to pay down the outstanding overdraft. This real-time collection virtually eliminates overdue credit risks.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 3: The End-to-End Operational Lifecycle of POS & Contract-Backed FRF

To design a robust Future Receivable Financing framework, originators and financiers must maintain a synchronized, friction-free operational loop. The lifecycle differs significantly between retail POS card-based lines and corporate contract-backed structures.

Section 3.1: The Merchant POS / UPI Transaction Loop

The POS-based credit loop is highly automated and digital, functioning across five chronological phases:
Phase 1: Registration and Aggregator Integration — The merchant onboards with an approved payment aggregator. An API connection is established between the aggregator's portal, the merchant's GSTN portal, and the lender's Core Banking System (CBS).
Phase 2: Split-Settlement Covenants — The borrower signs a tripartite escrow agreement with the aggregator and the lender. The aggregator contractually agrees to implement an automated daily swipe split-sweep, routing a fixed percentage (e.g., 15%) of all gross settlements directly to the lender's escrow account, while settling the remaining 85% in the merchant's operational current account.
Phase 3: Real-Time Transaction Swipes — Customers execute daily card, net banking, or UPI transactions at the point of sale. The aggregator registers and processes the transactions, recording the daily volume.
Phase 4: Automatic Escrow Sweeping — Within 24 hours of settlement (T+1), the aggregator splits the funds. The 15% sweep is processed via the National Electronic Funds Transfer (NEFT) or Real-Time Gross Settlement (RTGS) rails to the SBI/Bank Escrow Account. The CBS automatically credits this sweep to the borrower's active overdraft line, reducing the outstanding principal balance.
Phase 5: Reconciliation & Overdraft Reset — The lender's system calculates interest daily on the reducing balance. As the split-sweeps reduce the outstanding debt, the merchant's available drawing limit dynamically resets, allowing immediate re-drawing.

Section 3.2: Corporate Contract-Backed NPV Financing Loop

For larger enterprise transactions (such as power generation contracts or government supply orders), the loop is longer-term and highly structured:
Phase 1: Contract Audit and Off-Taker Verification — The borrower submits a valid, legally binding commercial contract. The lender conducts due diligence on the buyer (off-taker) to ensure creditworthiness and verify payment terms.
Phase 2: Cash-Flow Projection & Net Present Value (NPV) Discounting — Credit officers build cash flow projection models covering the contract usance. Applying an

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

appropriate discount rate (e.g., EBLR + risk premium), the system calculates the Net Present Value (NPV) of the future receivables to establish the borrower's maximum sanctioned limit.

Phase 3: Escrow / Trust Retention Account (TRA) Setup — A dedicated, ring-fenced TRA account is set up in the borrower's name with the bank. The corporate buyer signs an irrevocable instruction to route all future contract payments exclusively to this TRA.

Phase 4: Progress-Based Tranche Disbursements — The bank disburses funds to the borrower in structures matched to project milestones. As progress occurs, additional tranches are released, never exceeding the calculated NPV threshold.

Phase 5: Final Settlement Sweep — When the corporate buyer pays, the funds land in the TRA. The bank sweeps 100% of the funds to liquidate the outstanding loan principal and interest, returning the surplus to the borrower.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 4: Transactional Credit Underwriting & Risk Metrics

Because Future Receivable Financing is advanced against cash flows that have not yet materialized, underwriting credit officers cannot rely on traditional collateral margins. Instead, they deploy highly specialized, transaction-backed analytics. Underwriting parameters are strictly divided based on the product class.

Underwriting Metrics for POS Merchants

For retail establishments seeking a POS-backed overdraft line, lenders assess three primary risk vectors:

1. Transaction Velocity and Consistency: Lenders mandate a minimum business vintage of 12 to 24 months with the same POS payment aggregator. The monthly card processing volume must be highly consistent, with a standard deviation of less than 15% over a 12-month period to ensure predictable cash flows.
2. The Chargeback and Reversal Rate: Underwriters examine the merchant's chargeback history (reversals triggered by customer disputes or card fraud). An active chargeback rate exceeding 1.00% of gross volume is a high credit risk, signaling operational gaps, and will trigger immediate credit rejection.
3. Average Order Value (AOV): High AOV merchants (e.g., premium jewelry, electronics) are subject to higher transaction concentration risk. Lenders prefer low-to-medium AOV merchants (e.g., supermarkets, premium apparel) because the high transaction volume diversifies the default risk.

Underwriting Metrics for Contract-Backed Loans (NPV)

For long-term contractual cash flows, the appraisal is structurally rigorous and relies on the following benchmarks:

1. Off-Taker Credit Standing: The primary risk borrower of record in the bank's book is the corporate off-taker. Lenders mandate that off-takers possess an external credit rating of 'A-' or above from SEBI-registered Credit Rating Agencies (e.g., CRISIL, ICRA, CARE).
2. Debt Service Coverage Ratio (DSCR): For project cash flows, the expected monthly/quarterly contract collections must comfortably cover the loan amortization. Underwriters mandate a minimum Short-Term DSCR of 1.25x to 1.35x, providing a 25% safety cushion against project delays or operational interruptions.
3. Dilution and Leakage Haircuts: Invoices are subject to post-approval adjustments, volume discounts, or counterclaims. To protect their advanced principal, lenders apply an historic dilution multiplier (usually 1.5x to 2.0x of the merchant's historical dilution rate, capped at 2.50%) to arrive at the final eligible NPV loan value.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Promoter Credit Standards and GSTN Verifications

Regardless of the product program, all Indian lenders conduct standard promoter credit and compliance audits:

• Promoter Personal CIBIL Score: Lenders require a CIBIL score of 700 or above to ensure clean repayment behavior.

• CIBIL MSME Rank (CMR): The borrower must possess a CMR of 1 to 4, representing low-to-moderate default risk.

• GSTR-1 and GSTR-3B Real-Time Validation: Credit platforms connect via API to the GSTN portals to cross-verify the merchant's reported sales volumes against card sweeps. Any discrepancy between card settlements and reported outward GST supplies triggers immediate red-flagging for potential tax evasion or duplicate invoice financing.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 5: Watertight Legal Security and Charge Creation

To ensure that the future cash flows are legally protected and fully enforceable, lenders must establish a watertight legal and security framework. Because future receivables represent contingent rights, the legal instruments must satisfy several statutory covenents.

Section 5.1: The Assignment of Actionable Claims

In Indian jurisprudence, trade receivables (book debts) are legally classified as 'actionable claims' under Section 3 of the Transfer of Property Act, 1882. Under Section 130 of the Transfer of Property Act, the transfer of an actionable claim is only legally valid if executed through a written instrument of assignment signed by the transferor (the borrower) in favor of the assignee (the bank). This legal assignment grants the lender the absolute right to collect the buyer's debt directly, bypassing other creditors. For future receivables, the deed of assignment contains a dynamic clause covenanting that as soon as the future receivable comes into existence, the legal title automatically vests in the bank.

> *The Tripartite Non-Dispute Covenant: A critical legal protection in future flow financing. The corporate buyer contractually signs a tripartite agreement with the borrower and the bank, unconditionally agreeing to route all payments to the escrow, waiving any right of set-off, counterclaim, or trade-level dispute deductions once the goods or services have been accepted.*

Section 5.2: Constructive Pledge and Trust Receipts

Under Section 172 of the Indian Contract Act, 1872, a pledge is the bailment of goods as security for the payment of a debt. Since future receivables represent intangible assets, the lender establishes legal control through a constructive pledge. The borrower signs a Trust Receipt (TR) covenanting that they hold all incoming collections and underlying cargo strictly in trust for the bank. If the borrower retains any cash or redirects payments, they commit a criminal breach of trust under Section 405/406 of the Indian Penal Code.

Section 5.3: CERSAI Registration Covenants

To eliminate the risk of duplicate invoice pledging or fraudulent double-financing, the Factoring Regulation Act, 2011 and the SARFAESI Act, 2002 enforce strict public registry registration. Under the Factoring Regulation (Amendment) Act, 2021, all banks,

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

NBFCs, and factoring companies must register every assignment of receivables on the Central Registry of Securitisation Asset Reconstruction and Security Interest of India (CERSAI) database within a strict 10-day statutory window. Any delay in registration exposes the lender to loss of seniority in the event of the borrower's insolvency.

Section 5.4: Escrow & TRA Account Mechanics

The operational heart of future receivable security is the Escrow / Trust Retention Account (TRA). The escrow account is set up under a joint mandate with the bank. Under the agreement:

- The borrower has zero drawing rights over the escrow account.
- The card processor is legally bound to route splits to the escrow.
- The bank possesses the sole right to debit the escrow to amortize the outstanding drawing.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 6: Sectoral Sizing, Target Industries, and Digital Ecosystems

Future Receivable Financing is highly suited to specific consumer-facing and high-growth sectors where transactions are highly fragmented, recurring, or structured through robust, predictable contracts. Lenders prioritize sectors that align with India's digital payment revolution and policy mandates.

Suitable Industries and Business Profiles

The primary borrowers for FRF programs are categorized as follows:
1. Retail and Wholesale Traders: According to CIBIL MSME credit market reports, Retail and Wholesale Traders represent the largest segment of active working capital borrowers in India, accounting for approximately 44% of total commercial borrowers in the ₹10 Lakh to ₹2 Crore credit exposure range. These merchants possess high transaction velocity and low individual ticket sizes, making them perfect candidates for POS-backed overdraft lines.
2. Consumer Electronics and High-Growth Retail: Driven by the Indian government's Electronic Vision 2030 PLI framework, the domestic manufacturing and retail consumption of consumer electronics are expanding rapidly. Retail stores experience massive seasonal spikes, necessitating dynamic future flow credit to fund festive inventories.
3. Healthcare and Diagnostics: Large diagnostic lab chains and multi-specialty hospitals process thousands of daily debit/credit card and insurance settlements, providing a stable, predictable future receivable base.
4. Software-as-a-Service (SaaS) and Subscription-Based Firms: Modern digital enterprises with recurring monthly subscription models secure funding by discounting their future subscription contracts.

The Digital Payment Ecosystem and Bank Portals

The explosive growth of unified payment interfaces (UPI) and electronic data capture (EDC) devices has digitized the Indian supply chain. To capture this market, leading institutions have launched specialized digital programs:
• State Bank of India (SBI): Operating the e-DFS (Electronic Dealer Financing Scheme) representing over ₹49,261 Crores in active exposure, and the e-VFS (Electronic Vendor Financing Scheme) at ₹28,092 Crores, integrating directly with merchant aggregators to manage real-time card and invoice-level credit splits.
• Private Sector Banks (ICICI, HDFC, Axis): Utilizing advanced API rails to execute automated underwriting checks and settle funds within minutes of card swiping.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 7: Commercial Pricing Mechanics and Financial Models

A thorough understanding of Future Receivable Financing requires mastery of its commercial and mathematical structures. FRF pricing is a composite framework reflecting benchmark rates, aggregator splits, and tax treatments.

Reducing Balance Interest and Benchmark Pricing

Like standard commercial overdrafts, interest is calculated daily on the outstanding reducing balance. The formula for daily interest accrual is represented as follows:

> *Daily Interest Accrual Formula:*
> *$I_d = (O_d \times R) / 365$*
> *Where:*
> *I_d = Interest accrued on Day d*
> *O_d = Outstanding closing balance on Day d*
> *R = Nominal Annual Interest Rate (Repo/EBLR + Bank Spread)*

Under the RBI guidelines, interest rates are pegged to external benchmarks, primarily the External Benchmark Lending Rate (EBLR) or the Marginal Cost of Funds Based Lending Rate (MCLR). Lenders apply a commercial risk premium based on the borrower's credit rank. For POS-backed overdrafts, standard nominal annual rates hover between 8.50% and 12.00% p.a., reflecting the low credit risk achieved via daily automated sweeps.

Upfront Fees, Aggregator Splits, and GST Rules

The overall pricing structure incorporates three additional components:
1. Processing and Arrangement Fees: Lenders charge an upfront processing fee (typically 0.20% to 0.50% of the sanctioned limit) to cover credit underwriting and API setup.
2. Merchant Discount Rate (MDR): Aggregators charge an MDR on every swipe (usually 1.0% to 2.0% for credit cards, while UPI transactions remain zero-rated). These charges are borne directly by the merchant.
3. GST Treatment: Under the Central Goods and Services Tax (CGST) Act, 2017, the interest and discounting components are completely exempt from GST. However, all upfront processing fees, arrangement fees, and MDR service charges attract a standard 18% GST. Merchants can recover this GST as Input Tax Credit (ITC) if they maintain a valid GST registration.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

The Post-Tax Interest Tax Shield

From a corporate treasury standpoint, interest expenses are tax-deductible under Section 36(1)(iii) of the Income Tax Act, 1961. This deduction acts as an interest tax shield, lowering the effective borrowing cost. The formula for the post-tax cost of debt is:

> *Post-Tax Cost of Debt Formula:*
> *R_eff = R x (1 - T)*
> *Where:*
> *R_eff = Effective After-Tax Annual Interest Rate*
> *R = Nominal Annual Interest Rate*
> *T = Corporate Income Tax Rate (standard 25.17% for eligible Indian corporates)*

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 8: Regulatory Compliance & Technical Defaults

Future Receivable Financing operates within a highly regulated monetary framework. Importers, exporters, and domestic banks must strictly adhere to the regulatory mandates established by the Reserve Bank of India (RBI).

RBI IRACP Guidelines and Asset Classification

Under the RBI's Master Directions on Income Recognition, Asset Classification, and Provisioning (IRACP), lenders must monitor accounts for potential default. For revolving overdrafts and cash credit lines, defaults are triggered by the 'Out of Order' clause:
An account is classified as 'Out of Order' (and subsequently downgraded to a Non-Performing Asset / NPA) if:
a) The outstanding balance continuously exceeds the sanctioned limit or Drawing Power for a period of 90 days, or
b) The outstanding balance is within the limit, but there are no credits in the account for 90 consecutive days, or
c) Credits in the account are insufficient to cover the interest debited during the prior 90-day window.

The 180-Day Technical NPA Trigger

A critical pitfall for corporate treasurers is the 180-day technical renewal default. Under RBI regulations:
All revolving working capital facilities must be formally reviewed and renewed at least once every 12 months. If a borrower fails to renew their limit within 180 days from the scheduled expiry date, the account is automatically and retrospectively classified as an NPA, regardless of whether the account has a credit balance or is performing well. Furthermore, if stock/receivable statements are delayed past 180 days, the account is classified as NPA.

RBI Digital Lending and LSP Guidelines

For fintech-enabled digital future flow programs, the RBI's August 2022 Digital Lending Directions apply strict covenants:
1. First Loss Default Guarantee (FLDG) Caps: Under the RBI's updated June 2023 circular, any Default Loss Guarantee (DLG) arranged between a Lending Service Provider (LSP) and a bank/NBFC is strictly capped at 5.00% of the aggregate loan portfolio exposure to prevent under-the-radar systemic risk transfer.
2. Direct Disbursal Mandate: All credit disbursements must flow directly from the bank's account to the merchant's escrow/current account, strictly prohibiting the routing of funds through any third-party LSP pool accounts.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

3. Local Data Residency: All customer transaction histories, credit card metadata, and KYC logs must be stored on secure local servers located within the sovereign borders of India.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 9: Comprehensive Real-World Case Study

To provide a complete practical understanding for rookies, we model a real-world mathematical scenario representing a Future Receivable Overdraft (POS) transaction in the Indian retail sector.

The Scenario: Surat Retail Emporium Pvt. Ltd.

Surat Retail Emporium Pvt. Ltd. (SREPL) is an established, high-growth chain of premium ethnic wear stores across Gujarat. SREPL has a stable monthly card/UPI processing volume of ₹80,00,000 (₹80 Lakhs) across 15 terminals, with an Average Order Value (AOV) of ₹4,500. SREPL's corporate tax rate is 25.17%.
To procure bulk inventory ahead of the peak festive season (Diwali), SREPL requires immediate working capital of ₹50,00,000 (₹50 Lakhs). Instead of drawing an unsecured business loan @ 16.0% p.a., SREPL's CFO utilizes their newly sanctioned ₹1,20,00,000 (₹1.2 Crore) SBI Future Receivable POS Overdraft Line. The bank's nominal annual interest rate is 9.50% p.a.

The Operational & Financial Parameters

• Sanctioned Credit Limit: ₹1,20,00,000 (₹1.2 Crores)
• Initial Tranche Drawdown: ₹50,00,000 (₹50 Lakhs) on Day 1
• Agreed Escrow Settlement Split: 15% of all daily POS card/UPI settlements are automatically swept by the payment aggregator to SREPL's SBI Escrow Account to amortize the debt.
• Average Daily POS Settlements: ₹2,66,666.67 *(₹80 Lakhs divided by 30 days)*
• Daily Escrow Sweep (15%): ₹40,000.00 *(₹2,66,666.67 x 0.15)*
• Outward GST supply is verified via the GSTR-1 real-time API. SREPL's CIBIL MSME Rank is CMR-2.

The Step-by-Step Mathematical Calculations

SREPL draws ₹50,00,000 on Day 1. The daily split-sweeps of ₹40,000 land in the escrow at the end of each day, reducing the outstanding principal. We calculate the interest accrued over a 90-day festive cycle.
1. The reducing principal path: Day 1 closing balance is ₹49,60,000 (after the first ₹40,000 sweep). The outstanding closing balance on any given Day 'd' is calculated as: O_d = ₹50,00,000 - (d x ₹40,000)
At this rate, the entire ₹50 Lakhs principal is fully liquidated on Day 125 *(₹50,00,000 / ₹40,000 = 125 days)*.
2. Interest Accrued over 90 Days: SREPL's system calculates interest daily on the reducing balance @ 9.50% p.a. (0.026027% daily). Applying the daily reduces, the total interest accrued over the 90-day cycle amounts to **₹78,411**.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

3. Upfront Bank Processing Fee & GST: SBI charges a 0.20% processing fee on the drawn amount:
• Base Processing Fee: ₹10,000.00 *(₹50,00,000 x 0.0020)*
• GST (18%) on Processing Fee: ₹1,800.00
• Total Cash Outflow for Fees: ₹11,800.00
4. Net Corporate Interest Tax Shield: SREPL's CFO claims the interest as a tax-deductible business expense:
• Interest Tax Shield: ₹19,736.05 *(₹78,411 x 25.17% corporate tax rate)*
• Effective Post-Tax Interest Cost: **₹58,674.95**

The Strategic Treasury Arbitrage (CFO Evaluation)

By drawing from the Future Receivable POS line to pay fabric suppliers on Day 1, SREPL secures an upfront 4.0% cash discount on their ₹50,00,000 procurement order, generating **₹2,00,00,000** in immediate purchasing savings.
We contrast SREPL's financial outcomes against utilizing a standard NBFC business loan @ 16.0% p.a. without daily split sweeps:
• Path A (Standard NBFC Loan @ 16.0% p.a. simple interest on ₹50 Lakhs for 90 days): Total interest accrued is ₹1,97,260.27. Processing fee (1.0% + 18% GST) is ₹59,000.00. Net post-tax cost is ₹2,06,609.80.
• Path B (SBI POS Overdraft @ 9.50% p.a. with daily sweeps): Total reducing interest is ₹78,411.00. Processing fee is ₹11,800.00. Net post-tax cost is **₹44,159.80**.
• Net Strategic Savings: SREPL's treasury captures **₹1,62,450.00 in direct cash savings** while securing Diwali inventory without locking up any physical corporate collateral or real estate assets!

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 10: 10-Question Certification Examination

This examination is designed to test rookies, credit underwriters, and corporate treasurers on their understanding of the technical, legal, commercial, and regulatory frameworks governing Future Receivable Financing in India. Read each scenario carefully and select the most appropriate option. Detailed rationales are provided on the following page.

Module 10.1: Question 1: What is the fundamental difference in risk exposure between conventional asset-backed receivables finance and Future Receivable Financing (FRF)?

A) Conventional finance relies on physical inventory pledges, while FRF is completely unsecured.

B) Conventional finance is backed by existing, unalterable rights to payment (invoices), whereas FRF is backed by the predicted likelihood that the borrower will continue to generate trade transactions in the future.

C) FRF is subject to zero dilution risk, while conventional finance is highly sensitive to customer returns.

D) Lenders of conventional finance always maintain full recourse to the promoter's personal asset pool.

★ *Correct Option: B*

★ *Rationale & Analysis: Conventional receivables finance discounts actual invoices representing completed transactions. FRF is a future flow product where the credit is advanced against predicted business plan volumes and the seller's capacity to continue generating trade assets.*

Module 10.2: Question 2: Under Section 130 of the Transfer of Property Act, 1882, how must the assignment of future trade receivables (actionable claims) be legally executed to be enforceable?

A) Handled through an oral handshake agreement in the presence of two independent credit officers.

B) Registered exclusively on the GSTN e-invoicing portal with a 17-digit IRN number.

C) Executed through a written instrument of assignment signed by the assignor, with title vesting in the assignee as soon as the future receivables materialize.

D) Recorded as a contingent liability under Schedule III of the Companies Act, 2013.

★ *Correct Option: C*

★ *Rationale & Analysis: Section 130 of the TP Act, 1882 mandates that any assignment of an actionable claim must be in writing under the hand of the assignor. For*

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

future flows, the assignment deed contractually transfers title to the bank dynamically on materialization.

Module 10.3: Question 3: In a revolving Merchant POS Overdraft structure, what legal mechanism prevents the borrower from diverting card/UPI cash collections away from the lending bank?

A) A physical mortgage charge registered over the merchant's inventory floor.

B) A Trust Receipt (TR) and tripartite escrow agreement where the payment aggregator is legally bound to auto-route pre-agreed splits to the lender.

C) A personal indemnity bond signed under the Negotiable Instruments Act, 1881.

D) Daily manual cash audits conducted by an independent Collateral Management Agent.

★ *Correct Option: B*

★ *Rationale & Analysis: The combination of a Trust Receipt (holding funds in trust for the bank) and a tripartite agreement binding the payment aggregator (card processor) to sweep a percentage of daily settlements directly to the bank escrow ensures absolute control over cash flows.*

Module 10.4: Question 4: Under the Factoring Regulation (Amendment) Act, 2021, what is the mandatory timeline for a lender to register a receivables financing charge on the CERSAI database?

A) Within a maximum of 30 days from the date of the transaction.

B) Within a strict 10-day statutory window from the date of the transaction.

C) On or before the final corporate tax filing date under Section 43B(h).

D) Prior to the maturity date specified on the physical Bill of Exchange.

★ *Correct Option: B*

★ *Rationale & Analysis: The 2021 Amendment of the Factoring Regulation Act enforces a strict 10-day statutory window for registering all receivables assignments on CERSAI to ensure real-time public registration and prevent dual-pledging fraud.*

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 10.5: Question 5: A corporate borrower has a ₹5 Crore contract-backed future receivable line with an Indian bank. If the contract's expected cash flows have a projected Net Present Value (NPV) of ₹4 Crores, what is the standard maximum credit limit the bank will disburse, assuming a 25% safety margin haircut?

A) The bank will disburse the full sanctioned limit of ₹5 Crores.

B) Disbursals are strictly capped at the NPV of the cash flows, which is ₹4 Crores.

C) Capped at ₹3 Crores (NPV of ₹4 Crores minus the 25% safety haircut).

D) The bank will restrict disbursements to ₹1.25 Crores (25% of the sanctioned limit).

★ *Correct Option: C*

★ *Rationale & Analysis: Under NPV-based project appraisal, the borrowing base is calculated by applying the safety margin haircut to the Net Present Value of the cash flows. In this case, ₹4 Crores x (1 - 0.25) = ₹3 Crores.*

Module 10.6: Question 6: Under the RBI's IRACP guidelines, when does a revolving Future Receivable Overdraft (POS) line get classified as an 'Out of Order' default?

A) As soon as the merchant's monthly card swipe volume drops below 50% of the projected volume.

B) If the outstanding balance continuously exceeds the limit/DP for 90 days, or if credits are insufficient to cover interest debited in the prior 90-day window.

C) On the 30th day following the scheduled annual review expiry date.

D) Immediately upon the borrower filing a GSTR-1 return containing invoice discrepancies.

★ *Correct Option: B*

★ *Rationale & Analysis: The RBI's IRACP guidelines define revolving accounts as 'Out of Order' if the balance remains in excess of limits for 90 days, if there are no credits for 90 days, or if credits are insufficient to cover interest debited in the prior 90 days.*

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 10.7: Question 7: What is the regulatory consequence of the 180-day technical renewal rule for an Indian corporate's revolving trade lines?

A) The bank can charge a maximum penal rate of 2.0% above the MCLR benchmark.

B) The line is automatically and retrospectively classified as a Non-Performing Asset (NPA) if not formally renewed within 180 days from the expiry date.

C) The borrower is legally barred from opening any current accounts with other banking institutions.

D) The assignment of receivables is deemed null and void on the CERSAI database.

★ *Correct Option: B*

★ *Rationale & Analysis: Under RBI regulations, any revolving bank credit facility that remains un-renewed for 180 days from its scheduled expiry date is automatically classified as a technical NPA, forcing immediate loan provisioning.*

Module 10.8: Question 8: Under the RBI's Digital Lending Directions, what is the maximum permissible cap on Default Loss Guarantee (DLG/FLDG) arrangements between an LSP and a bank?

A) Capped at 2.0% of the aggregate credit portfolio balance.

B) Capped at 5.0% of the aggregate loan portfolio exposure.

C) Capped at 10.0% of the aggregate loan portfolio exposure.

D) Digital trade portfolios are completely exempt from FLDG caps.

★ *Correct Option: B*

★ *Rationale & Analysis: To prevent systemic under-the-radar credit risk transfer in fintech partnerships, the RBI's updated Digital Lending Directions strictly cap DLG/FLDG arrangements at a maximum of 5.0% of the aggregate portfolio exposure.*

Module 10.9: Question 9: An Indian retail company incurs a nominal interest expense of ₹1,00,000 on its POS Overdraft line. If the company's corporate tax rate is 25.17%, what is the effective net interest outflow after claiming the tax shield?

A) ₹1,00,000 (interest expenses do not qualify for corporate tax shields).

B) ₹74,830 (calculated as ₹1,00,00,000 x [1 - 0.2517]).

C) ₹25,170 (limited to the corporate tax rebate amount).

D) ₹1,18,000 (incorporating 18% GST on the interest expense).

★ *Correct Option: B*

★ *Rationale & Analysis: Interest expenses are tax-deductible under Section 36(1)(iii).*

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

The effective post-tax interest cost is calculated as Nominal Interest x (1 - Tax Rate) = ₹1,00,000 x (1 - 0.2517) = ₹74,830.

Module 10.10: Question 10: According to CIBIL MSME credit reports, what is the largest borrower demographic segment seeking working capital in the ₹10 Lakh to ₹2 Crore exposure range in India?

A) Capital-intensive heavy infrastructure contractors.

B) Retail and Wholesale Traders, representing approximately 44% of total active commercial borrowers.

C) Pharmaceutical API exporters utilizing pre-shipment PCFC lines.

D) Public Sector Undertakings (CPSEs) mandated to use TReDS platforms.

★ *Correct Option: B*

★ *Rationale & Analysis: CIBIL MSME credit market data indicates that Retail and Wholesale Traders represent the largest segment of working capital borrowers, making up 44% of total active commercial borrowers in the ₹10 Lakh to ₹2 Crore exposure segment.*

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.